

# INVESTMENT CHECKLIST

## General Notes:

- Have patience and discipline
- 20+ hours of research minimum to get certainty about a company
- Only have to have an opinion on a few things
- Sell greed → buy fear
- Try to stay out of banks, pharmaceuticals, airlines, china, tech, financial institutions, holding companies, and healthcare
- It's better to be a copycat than to be an innovator
- Will the company be worth more in 10 years? → if uncertain, then sell
- Stay away from IPOs (it's probably overpriced)
- Look for companies that are selling at a bargain
- Its okay to put all your eggs in one basket as long as you monitor that basket like a hawk. Be okay changing baskets when the world around you changes - nothing lasts forever
- NEVER BUY A STOCK SIMPLY BECAUSE IT GOES UP AND NEVER SELL SIMPLY BECAUSE IT GOES DOWN
- Compare company's number with the S&P
- There must not be a single question you cannot answer about your company...like seriously
- Don't be afraid to call investor relations!

## Events:

Generally sales and income go down for a bit, cash gets hit a little later. Are these events fixable within 3 years? Is there a new CEO? Does the CEO have a definite plan to fix the event?

## Types of Events:

- Whole market crash → best kind because it does not have to do with the intrinsic business itself
- Industry problem → also think about what companies will benefit from one industry's decline
- Company problem → usually management screws up
  - Hardest of the three events to figure out

Tranch typically four-ish times to get in @ MOS price

- First tranche is the smallest
- Sell ROP in a zone ~20% within on sale price from fair valuation
- Be patient, you might have to wait awhile after the event to see a turnaround...like years.
- It is not uncommon to take paper losses for months at a time

## Reduction of basis:

1. Selling ROP
2. Selling ROC
3. Tranching in
4. Selling shares @ sticker or above
5. Dividends
6. Stock buybacks

## When to sell:

- Price reached sticker or above (business becomes massively overpriced)
- Moat is breached if business becomes unpredictable
- If management loses their touch:
  - Debt starts rising uncontrollably
  - ROIC starts declining
  - ROE starts declining
  - CEO isn't sharing complete story with the shareholders

A true investor is free to disregard the current market price of their holdings unless he is to act upon it only to sell in a bull market and buy in a bear market. A bull market is identified by:

- Historically high price levels
- High P/E ratios (check shiller P/E for this)
- Low dividend yields against bond yields
- Much speculation on margin

- Many IPOs of poor quality and high valuations

Tell tale sign of the end of a bull market is when new common stock offerings are started at prices higher than most common, medium-sized, already existing companies

Factors of a good decision:

- Well calibrated confidence
- Correctly anticipated regret

RULE 1 GURUS: David Einhorn, Julian Robertson, Bruce Berkowitz, Seth Klarman, Lou Simpson, Warren Buffett, Mohnish Pabrai, Prem Watson, Li Lu, Phil Town, Guy Spier

Good, reputable financial sites to research:

- Forbes
- Business week
- Wsj.com
- Seeking alpha
- The economist
- Motley fool money
- Zachs.com
- Valueinvestorsclub.com
- Bloomberg
- Cnbc
- Marketwatch.com
- Earningscast.com for conference calls
- Google trade journals
- Youtube for articles/videos on management
- Gurufocus.com for articles

Know which reports affect your company stock, and plan trades accordingly.

Types of reports that have influence on the stock market as whole: (the impact of the report is generally proportional to how much the figures differed from expectations)

- CPI monthly report
- Producer price index report
- Unemployment report
- Retail sales
- Export and import prices
- GDP
- Industrial production
- Fed interest rates

## (1)MEANING

Capable of understanding the business:

- Keep it simple
- Don't go further if you don't understand it
- Is the company within my circle of influence?
- What is my level of confidence in my research of this company?
- \*Know what you know, but more importantly, know what you don't know and stray away from investing activities that are outside your circle of competence\*

Have to be okay with what company is doing with your money:

- How they treat their employees
- How they treat their customers
- How they treat their suppliers
- Environmental impact

\*You will most likely experience an expensive error in evaluating meaning if\*:

- The company is on the edge or outside of your circle of competence

- No gurus are buying recently
- Not a business I enjoy studying
- industry/company/product not easy to understand
- Did not do an inversion
- Industry on decline
- Unfriendly union(s)
- Demand for product in 10 years will be uncertain
- Uncertain company will be more productive in 10 years
- Industry rate of change is high
- Did not read 10K's going ten years back (especially the footnotes)

Are you okay having this company be the only asset you and your family owns of the rest of your lives?

- 1. I can describe how the business makes money in a simple sentence**
- 2. I can describe the top three competitors and their secret sauce for making money in a simple sentence (helps to go buy the competitors products and compare them to the company of interest)**
- 3. The business is in the top of its industry in cash flow and/or owner earnings**
- 4. I can describe how the product works and the core customer in a simple sentence, hopefully it is me**
- 5. I know the problem the business solves**
- 6. I can rattle off the history of the business**
- 7. I know why businesses fail in this industry and I know the economic cycles of this industry (Make sure they not radically changing their business model)**
- 8. I can say why this industry will be going strong in 10 years**
- 9. I can list the KPIs that are important to this industry**
- 10. I can list the key ongoing risks a business takes in this industry (can find on the 10K)**

## (2)MOAT

Moats let us know if the company will be more profitable in ten years

Competitive Advantage: look for a company that sells a unique products or service, or are low cost buyers and sellers of unique products or services. These products or services need to be almost essential to surviving in modern society

- Creating a consistent products that doesn't have to change equates to consistent profits
- Best companies to buy create their own niche
- Competitive advantage must be 'intrinsic' and built into the very structure of the company

Mature companies that have had time to build their moats and don't have to change very much to adapt to competitors

Types of moats:

- Brand moat → when company name is synonymous with what it offers
- Price → buys its goods at lowest price, then sells them for lowest price to consumers
- Secrets → IP, patents, trademarks, proprietary info, trade secrets
- Toll bridge → basically a monopoly, consumer MUST go through them to get what they want
- Switching → would be a hassle to switch to a different company's products or services
- Network → When a company has a network that allows people to communicate/share ideas

General Notes:

- Business section is typically where you can find info on competitive advantages
- Read backwards, most of the ugliest parts of the reports are in the back in the footnotes
- Investigate whenever you see the words "capitalized", "deferred", or "restructuring"
- Look for companies with multiple moats
- How hard is it to compete with this company? Compare this company to its competition, ask yourself, why will they win in the next decade? What protects this company from its competition?

- Ways that competition may breach the competitive advantage of your company:
  - Doing the same thing but cheaper
  - Creating a product/service that will eliminate the need for the ladder
- Read articles about the company from different sites (read BOTH bull and bear cases). Ask yourself, do you know more than the analyst writing the bear case?
- What is the future growth rate and is it increasing or decreasing? Why?
- Study the industry when looking at growth rates. Ask yourself if this company's future projections a realistic assumption to make
- How were sales and earnings in the last recession?
- How does cash from financing activities compare to cash from operating activities? Avoid companies that produce more cash from financing vs operating

Growth rates in order of importance: (are they moving in parallel? Why or why not?)

1. ROE
2. EPS
3. Sales
4. Free cash flow

How to identify loss of a moat:

- Other competitor replaces business in marketplace with better product/service
- Inside traitor → CEO has selfing interest

Four basic types of businesses with durable competitive advantages:

1. Business that fulfills a repetitive consumer need with products that wear out fast or are used quickly, that have brand name appeal and that merchants must carry to stay competitive themselves
2. Advertising businesses that provide a service manufacturers must continuously use to persuade the public to buy their products. It's a necessary and profitable segment of the business world
3. Businesses that provide repetitive consumer services that people and businesses are in constant need of (Tax preparers, cleaning services, security services, pest control, etc)
4. Low cost producers and sellers of common products that most people have to buy at some point (furniture, jewelry, insurance, etc)

Examples of commodity businesses that are price competitive (bad): internet service providers, memory chip manufacturers, airlines, producers of raw foods (potatoes, corn, rice, ect), steel producers, gas and oil companies, lumber industry, paper manufacturers, automobile manufacturers

\*You will most likely experience an expensive error when evaluating moat if\*:

- Moat is not intrinsic
- Moat is not durable
- Moat is not being widened over time
- EPS growth solely by stock buybacks to lower outstanding shares
- Big four numbers are not growing (especially if book value, in particular, if not growing)
- Owner earnings and free cash flow is not predictable
- Cheap foreign competition getting stronger but hasn't reached US industry yet

## INCOME STATEMENT

Example:



| Income Statement          |         |
|---------------------------|---------|
| (\$ in millions)          |         |
| Operating Expenses        |         |
| Selling, General & Admin. | \$2,100 |
| Research & Development    | 1,000   |
| Depreciation              | 700     |
| Operating Profit          | 3,200   |
| Interest Expense          | 200     |
| Gain (Loss) Sale Assets   | 1, 275  |
| Other                     | 225     |
| Income Before Tax         | 1,500   |
| Income Taxes Paid         | 525     |
| → Net Earnings            | \$975   |

1. Does the company have consistent and/or consistently growing gross margins? (generally 40% or more might be a sign of a durable competitive advantage. Companies that have this level or higher can also be stripped of competitive advantage by high operating expenses)
2. What is SG&A to gross profit ratio? Want 30% or lower typically, but varies by industry
3. What is R&D to gross profit ratio? Want 10% or lower, preferably none at all. Companies that have to spend a lot on R&D have an inherent flaw in their competitive advantage b/c if they don't innovate, they will lose their edge
4. What is depreciation to gross profit ratio? 15% or less is good. Compare to competitors for reference
5. What is the interest expense to operating profit ratio? Want 15% or lower
6. What is gain (or loss) on assets and other? This is the difference between the sale price of an asset and the carrying price on the books previous to the sale. Typically these are non-recurring and should be added back in to calculate true net earnings
7. What is their income tax %? Be wary of a company that reports a different income tax paid figure than what they actually paid. You can check in the SEC filings by finding the pre-tax earnings and subtracting the corporate income tax from that and comparing this figure to what they reported on financial statements
8. What is earnings to revenue ratio (net margin)? Want 20% or higher (varies by industry) and want consistency and/or growth over ten years
9. \*Are earnings growing consistently over a ten year period? Why or why not?
  - a. Are earnings and EPS growing in parallel? EPS growing while net earnings do not is a red flag. Causes for decreased EPS/cash numbers:
    - i. New CEO
    - ii. Going thru an event
    - iii. "Special charges" in income statement
    - iv. Changes in income taxes

- v. Dilution factor
- vi. Accelerated vs straight line depreciation (sometimes things that are on an accelerated depreciation are not actually depreciating that fast. It is in their best interest to take it off their books so they don't pay taxes on it)

## BALANCE SHEET

### ASSETS:

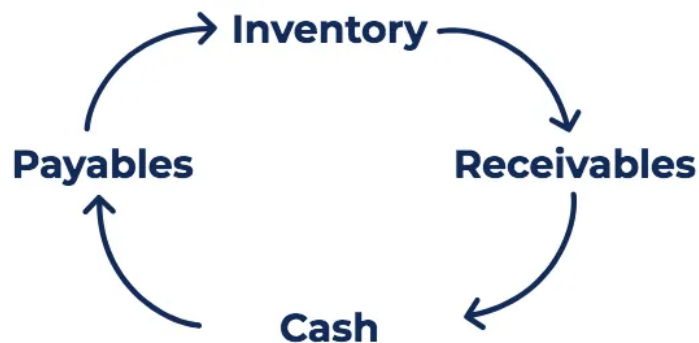
#### Example:

| Balance Sheet/Assets          |          |
|-------------------------------|----------|
| (\$ in millions)              |          |
| Cash & Short-Term Investments | \$4,208  |
| Total Inventory               | 2,220    |
| Total Receivables, Net        | 3,317    |
| Prepaid Expenses              | 2,260    |
| Other Current Assets, Total   | 0        |
| Total Current Assets          | 12,005   |
| Property/Plant/Equipment      | 8,493    |
| Goodwill, Net                 | 4,246    |
| Intangibles, Net              | 7,863    |
| Long-Term Investments         | 7,777    |
| Other Long-Term Assets        | 2,675    |
| Other Assets                  | 0        |
| Total Assets                  | \$43,059 |

1. Are cash and cash equivalents growing consistently over a 10 year period? They can generate cash by: selling bonds, selling businesses, or great ongoing business economics → make sure most of their cash is being generated by the last one
  - a. If cash is low for one particular year(s), investigate what they spend their money on. They can spend it to:
    - i. Expand operations
    - ii. Buy businesses (either whole or particularly through open market shares)
    - iii. Buy back shares
    - iv. Pay dividends
    - v. Pay down debt (if any)

**NOTE:** When Buffett is looking at companies going through short term troubles, if we see a lot of cash and cash equivalents AND little to no debt, chances are high the company will make it through. USE this knowledge to buy companies bid down by wall street

Understand the cash conversion cycle and how each component relates to each other:



2. Are inventories growing consistently AND in parallel with correspondingly higher earnings? Good sign of durable competitive advantage
3. Are net receivables to sales (AC-to-sales ratio) low? Compare this to competitors. A low number indicates the company can go through the cash conversion cycle quicker, and therefore generate more cash from operating activities than their competitors
4. What is their current ratio compared to competitors? Above one is good, but don't be alarmed with ratios below one. A lot of great businesses have ratios below one and can handle their short term obligations given they have enough earning power (from durable competitive advantages)
5. Are they constantly increasing their PPE? If so, this could be an indication of a hyper-competitive industry where manufacturing/tooling must constantly be upgraded to stay relevant.
  - a. If they are buying PPE, make sure they are financing it internally
6. Goodwill: it's recorded only when the business buys another business above the book value of said business. If your company is constantly increasing its goodwill, **MAKE SURE** they are buying other businesses with durable competitive advantages, otherwise it is a waste of money. If goodwill is staying the same it is because: they are buying other businesses below book value (usually not a good thing, but not always), or because they are not making acquisitions
7. Intangibles: patents, copyrights, trademarks, franchises, brand names, etc. How are they calculating this number? It is not uncommon for great businesses to not record the true carrying value of their name b/c the number is calculated from a third party
8. What is the nature of their long-term assets, if any? These are usually investments in stocks, bonds or real estate. If they are buying other businesses make sure they also have moats. Keep in mind they are required to record either their purchase price or market price, **ONLY** if it is below purchase price. This means sometimes if their investments accumulated significantly, it is an asset they cannot record here (hidden asset).
9. \*What is their ROA? Should be high and consistent over a ten year period. If it is too high, this could indicate vulnerability in the durability of their moat. If the 'price to enter the market' (total assets) is low, this invites competition into the space\*

10. **\*Does management's investment of their retained earnings appear to have increased the overall earnings? This must especially be true if they don't pay a dividend; they must be utilizing the excess cash wisely. (Calculated by dividing the increase in earnings over ten year period by the sum of retained earnings over ten year period)\***
11. **\*Is their equity and share price both rising consistently over a ten year period?\***

### LIABILITIES and STOCKHOLDERS EQUITY:

#### Example:

| Balance Sheet/Liabilities |          |
|---------------------------|----------|
| (\$ in millions)          |          |
| Accounts Payable          | \$1,380  |
| Accrued Expenses          | 5,535    |
| Short-Term Debt           | 5,919    |
| Long-Term Debt Due        | 133      |
| Other Current Liabilities | 258      |
| Total Current Liabilities | \$13,225 |

| Balance Sheet/Liabilities |          |
|---------------------------|----------|
| (\$ in millions)          |          |
| Total Current Liabilities | \$13,225 |
| → Long-Term Debt          | 3,277    |
| Deferred Income Tax       | 1,890    |
| Minority Interest         | 0        |
| Other Liabilities         | 3,133    |
| Total Liabilities         | \$21,525 |

| Balance Sheet/Shareholders' Equity       |          |
|------------------------------------------|----------|
| (\$ in millions)                         |          |
| Total Liabilities                        | \$21,525 |
| Preferred Stock                          | 0        |
| Common Stock                             | 880      |
| Additional Paid in Capital               | 7,378    |
| Retained Earnings                        | 36,235   |
| Treasury Stock—Common                    | −23,375  |
| Other Equity                             | 626      |
| → Total Shareholders' Equity             | 21,744   |
| Total Liabilities & Shareholders' Equity | \$43,269 |

1. **What is the short-term debt to long-term debt ratio, if any? If there is more short term debt than long-term debt, this can be concerning.**
2. **Is there a lot of long-term debt? If there is long-term debt, check how much is due in the coming years and if they have enough cash to handle it. It is common for great companies going through troubled times to be bid down if there is a lot of long-term debt due. As long as the company can handle it, they should be just fine**
  - a. **Are there ten years of little or no debt? Should be able to pay it off in 1-4 years of earnings**

**NOTE:** If all else looks good except there is a lot of debt, the company may have gotten bought out using a leveraged buyout. If this is the case, usually company bonds are a safer bet than buying the stock

3. **What is the treasury-adjusted debt to equity ratio? (Total liabilities/Shareholder's equity) Should be below 0.8, the lower the better (compared to competitors). Doing the calculation without adjusting for treasury shares will often produce a high number since great companies buy back their shares and thus diminish their equity overtime**
4. **Does the company consistently add to its retained earnings pool? What is the 10 yr avg annual growth rate of retained earnings? THIS IS THE MOST IMPORTANT NUMBER ON THE BALANCE SHEET FOR DETERMINING MOAT. The more \$\$**

retained on the balance sheet, the easier it is to invest those retained earnings back into the business, and therefore generate an increased growth rate of earnings in the future, which increases the retained earnings pool even more (it's all a cycle). If it is negative, investigate why (usually because of buybacks). That is okay as long as they have enough earning power to keep generating income to reinvest into the business.

5. Do they record treasury shares in stockholders equity? If so, great!  
Treasury-adjusted calculations will be much easier
6. Is the company growing using leverage (debt)? If so, generally avoid because it is inherently risky in nature

## CASH FLOWS

Example:

|                                      |         |                                      |           |                                      |           |
|--------------------------------------|---------|--------------------------------------|-----------|--------------------------------------|-----------|
| (\$ in millions)                     |         | (\$ in millions)                     |           | (\$ in millions)                     |           |
| Net Income                           | \$5,981 | Capital Expenditures                 | (\$1,648) | Cash Dividends Paid                  | (\$3,149) |
| Depreciation                         | 1,163   | Other Investing Cash Flow Items      | (5,071)   | Issuance (Retirement) of Stock, Net  | (219)     |
| Amortization                         | 125     | Total Cash from Investing Activities | (\$6,719) | Issuance (Retirement) of Debt, Net   | 4,341     |
| Total Cash from Operating Activities | \$7,269 |                                      |           | Total Cash from Financing Activities | \$973     |

|                                      |         |
|--------------------------------------|---------|
| (\$ in millions)                     |         |
| Total Cash from Operating Activities | \$7,269 |
| Total Cash from Investing Activities | (6,719) |
| Total Cash from Financing Activities | 973     |
| Net Change in Cash                   | \$1,523 |

1. What % of net income is used up by capital expenditures? Add up the total for ten years and compute the ratio. 50% or lower is good, 25% or lower is great. Again, compare to competitors for reference
2. Does the company have a strong history of buying back (retirement) shares? We want this because it increases EPS, ROE and is non-taxable way of increasing shareholder wealth compared to dividends

## GENERAL MOAT QUESTIONS:

1. I can describe the critical parts of the business model and/or growth plans
2. Customers love or need the company. What will be their challenge if the business disappears?
3. Suppliers love or need the company
4. I know the competitive advantage(s) of the business
5. I know why the competitive advantage is durable and intrinsic (look for disruptors here)
6. \*Business has proven that it can raise prices as its costs rise (anti fragile)\*

7. **\*The company sells products or services (preferably brand name) that produce durable, recurring sales over the long-term\***
- a. **Does the company sell the same thing they did ten years ago?**
  - b. **Is the business one of the four basic types of durable competitive businesses?**

## **(3)MANAGEMENT**

### General Notes:

- Management and CEO must be candid and tell investors when things are good AND bad
- Management follows through on their promises (cross-check previous filings to find what their goals used to be and see if they followed through)
- Avoid companies that are constantly advertising their stock as a promising opportunity. You can check this in the 8K filings (Q&A dialogue with shareholders)
- Check to make sure managers are being honest with who the bad managers are. You can find this in the back of annual report where heads of operating divisions are listed and who (and more importantly why) there were any changes
- Read the proxy statements → IT IS EQUALLY IMPORTANT TO KEEP UP WITH QUALITY OF MANAGERS AS IT IS TO INVESTIGATE THEIR INTEGRITY IN THE FIRST PLACE

### Researching the CEO:

- Letter to the shareholders
- Interviews/articles
- Insider trading (selling anything >30% usually not good)

### How did the CEO get to the position they are in now?

- Is the current CEO also the founder? If not, what happened to the founder?
- How does the board react to new CEOs?
- Does the CEO have a significant stake in the company? They should, proving they have a vested interest in the outcomes of the shareholders
- Does the CEO report bad news as well as good?
- How much is the CEO paid? Is this reasonable for the industry?

Get to know the board if directors...like really get to know them. Listen to quarterly earnings calls to see how involved the board is in the conversation. Make sure to listen to AT LEAST the last earnings call, preferably more.

- Who are they?
- How did they get there?
- Are they owners themselves?

**\*You will most likely experience an expensive error in evaluating management if\*:**

- ROE and ROIC are going down
- CEO does not act like an owner

- CEO puts self first
- CEO letter and interviews are filled with F.O.G
- CEO sells more than 30% of their company shares (not including stock options)
- CEO glosses over problems
- CEO selling too much stock at key times
- Company buying stock well above value
- CEO recently replaced (this can be okay as long as you do your research on the new CEO)
- Debt more than 2 years of free cash flow
- Debt increasing (bad debt)
- Loan covenants close to being breached by company

1. **\*The business has no or little debt (debt must be 1-3 earnings or 1-3 free cash flow or 1-3 years of owner earnings)\***
2. **\*ROIC is high, not getting smaller, and consistent over a ten year period. 'High' is industry dependent (usually 10% is good, 20% is great). Make sure ROIC isn't increasing by acquiring companies with borrowed money\***
3. **\*ROE is high and not getting smaller, and consistent over a ten year period (not as important as ROIC). 15% is good, 20% is great\***
4. **Company has small maintenance capex (larger maintenance capex chews up owner earnings)**
5. **Free cash flow is >75% of earnings or more (lower is okay if and only if they're reinvesting the spent capital wisely)**
6. **Owner earnings are >75% of earnings or more**
7. **CEO has integrity and a great track record in this industry. A great moat can overcome a new and inexperienced CEO**
8. **Management has a specific, big audacious goal they are trying to achieve**
9. **CEO pay is reasonable and based on long term success. Compare to industry to see if it's reasonable. Pay must reflect multiple years of anticipation, just like a long term investor. Can go to wall street journal for easy comparison.**
10. **\*Management is buying the stock consistently over a ten year period (when it is cheap)\***
11. **Executives own less than 3% of the company. Anything more is dangerous**

## (4) VALUATION

\*You will most likely experience an expensive error in evaluating valuation if\*:

- Can't confidently calculate owner earnings
- Pay more than 10-cap price or 8-year payback price or MOS or Equity bond price
- Temporary issues making earnings and/or free cash growth/losses abnormal
- Future growth rates and future P/E estimates not realistic
- There is no event/price drop
- Price dropped but not enough of an event to go on sale
- Events produces significant fear but may not resolve itself in 1-3 years
- Event may permanently damage the core business
- Can't understand the event - its too complex



## DCF/MOS:

Typically, MOS works for young, growing companies that don't have a whole bunch of earnings

- Growth rate is EPS + BVPS growth rate
  - Keep in mind that the future growth rate of your company is fluid. It changes quarter to quarter, and year to year. Keep up with it to see how the story unfolds
1. **I am confident I can pinpoint a long term growth rate of earnings and cash that is bullish but not crazy**
  2. **My projection of future earnings and cash flow is nowhere near the industry ceiling. How many sales can this industry handle?**
  3. **I am confident in a future P/E ratio that is not too crazy but also bullish. Usually 2x the growth rate is the maximum. Compare to industry as well here**
  4. **I'm using a historically reasonable current earnings (just use 3 yr avg)**
  5. **I'm using a reasonably conservative MARR. (Just use 15%)**
  6. **I am confident enough in this valuation that I would put 20% of my net worth in this business at the margin of safety price**

## OWNER EARNINGS:

(when finding the maintenance fund, look through the 10K's specifically in the PPE section)

- Use command F for "capex"
1. **I am using historically reasonable operating cash flow**
  2. **I am using historically reasonable maintenance capex**
  3. **I am using reasonable tax provision**

## PAYBACK TIME:

- Payback time works for old companies with a lot of cash flow
- If you were to buy the whole company right now, how long would it take to get paid back in full based on free cash flow. We typically want 8 years maximum
- We use free cash because this is 'real' cash as opposed to earnings which is an accounting number

How to find FCF:

1. Scan income/cash flow statement for outliers. No outliers → use toolbox
  2. Outliers → Use excel to eliminate statistical outliers and get a better understanding of free cash flow
    - a. Only delete outliers if you understand the company and you are certain that the normal numbers will return in a few years
1. **I am confident in the long term growth rate of this company**
  2. **There's no limit to this level of growth over the next 15 years. Based on the size of the industry, the level of competition, the number of stores/customers available**



3. My avg ratio of free cash-to-earnings is reasonable and historically relevant
4. I'm using historically reasonable current free cash flow (use 3 yr avg)
5. I'm using a solid projection of future capex
6. I'm confident enough to put 20% of my net worth into this company at a 6 year payback price

## EQUITY BOND:

A share is a bond with a premium that is equal to the amount over book value

1. What is the current book value per share?
2. What is a historically reasonable ROE?
3. What is a historically reasonable retained earnings-to-net income ratio? (i.e. What % of their earnings to they usually retain?)
4. Multiply the retained earnings-to-net income ratio by the historically average ROE to produce the overall equity growth rate
5. Grow equity (book value) using the equity growth rate to ten years from now
6. Using historically reasonable ROE, determine future earnings from future book value
7. Using historically reasonable PE, determine future price using future earnings
8. From future price, determine overall return given current market price

## BOND COMPARISON

Using 3 year avg EPS of \$2.32 and market price of \$32

|                    |                                                                                 |                                                                |
|--------------------|---------------------------------------------------------------------------------|----------------------------------------------------------------|
| SFM Stock          | 10 year T-bill (06/2023)                                                        | 10 year high quality corporate bond (06/2023)                  |
| 7.25% EPS return   | 3.75% return                                                                    | 4.88% return                                                   |
| \$32 market price  | I should pay \$61.80 per share market to produce same return as government bond | \$47.54 market price to produce same return as corporate bonds |
| <b>BEST OPTION</b> |                                                                                 |                                                                |

## (5)INVERSION

General Notes:

- Act like you are the CEO
- What can change the future growth rates?
- Seeking Alpha articles for rebuttals

- Consider the risk of international business (especially China!)
- Can check risk factors in 10K for ideas of possible inversion stories
- Read competitors' risk factors to make sure they are the same, If not, why?

- 1. I have a serious inversion for the top 3 key reason to own this business**
  - a. For every inversion, I know a logical, fact-based rebuttal**
- 2. I know the top 3 inversion stories the short sellers are talking about**
  - a. For every inversion, I know a logical, fact-based rebuttal**
  - b. How many shares outstanding are being sold short? Can this affect the stock price?**